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General Management

Management Science

1. Privacy Regulation and Fintech Lending

Authors: Sebastian Doerr, Leonardo Gambacorta, Luigi Guiso, Marina Sanchez del Villar

DOI: [10.1287/mnsc.2025.02874](https://doi.org/10.1287/mnsc.2025.02874)

Department: Finance

Published: 2026-04-27

Fields & Theories:

- **Fields:** Fintech, Financial Regulation, Financial Intermediation
- **Theories:** Information Asymmetry, Screening and Selection Theory, Economics of Information

Abstract:

Consumers dislike sharing data with fintechs, but greater access to data can improve loan market outcomes through better screening. We study how the California Consumer Privacy Act (CCPA), which grants users control over and mitigates concerns about sharing their data, affects fintech lending. After the CCPA's introduction, fintechs' loan rates decline relative to those of other lenders. In addition, rate dispersion across fintech loans increases, fintechs deny more applications, and they make greater use of nontraditional credit scoring models, whereas their default rates decline by more than those of other lenders. These results are consistent with an improved screening process enabled by additional data. Mortgage originations by fintechs also increase, suggesting that well-designed privacy regulation may enhance financial inclusion. This paper was accepted by Bo Becker, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2025.02874>.

□ Doerr - Privacy Regulation and Fintech Lending.pdf

2. Forecasting and Managing Correlation Risks

Authors: Tim Bollerslev, Sophia Zhengzi Li, Yushan Tang

DOI: [10.1287/mnsc.2024.08294](https://doi.org/10.1287/mnsc.2024.08294)

Department: Finance

Published: 2026-04-24

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Risk Management, Quantitative Finance
- **Theories:** Statistical Learning (LASSO), Modern Portfolio Theory, Econometric Forecasting

Abstract:

We propose a novel and easy-to-implement framework for forecasting time-varying correlations based on a large set of salient realized correlation features and the sparsity-encouraging Least Absolute Shrinkage and Selection Operator technique. Considering the universe of S&P 500 stocks, we find that the new approach manifests in statistically superior out-of-sample forecasts compared with commonly used procedures. We further demonstrate how the forecasts translate into significant economic gains in the form of higher pairs trading profits, better equity premium predictions, more accurate portfolio risk targeting, and superior overall risk control and minimization. This paper was accepted by Kay Giesecke, finance. Funding: S. Z. Li received financial support from the Rutgers Business School Dean's Research Seed Fund. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08294>.

□ Bollerslev - Forecasting and Managing Correlation Risks.pdf

3. Investing in Lending Technology: IT Spending in Banking

Authors: Zhiguo He, Sheila Jiang, Douglas Xu, Xiao Yin

DOI: [10.1287/mnsc.2024.04608](https://doi.org/10.1287/mnsc.2024.04608)

Department: Finance

Published: 2026-04-22

Fields & Theories:

- **Fields:** Banking, Strategic Management of Information Technology, Financial Intermediation, Corporate Strategy
- **Theories:** Information Theory (Soft vs. Hard Information), Resource-Based View, Competitive Dynamics

Abstract:

Banks' lending technology hinges on their handling of soft and hard information in dealing with different types of credit demand. Through assembling a novel data set on banks' investment in information technologies (IT), this paper provides concrete empirical evidence on how banks adapt their lending technologies. We find investment in communication IT is associated with improving banks' ability to produce and transmit soft information, whereas investment in software IT helps enhance banks' hard information processing capacity. We exploit policies that affect geographic regions differentially to show causally that banks respond to an increased demand for small business credit (mortgage refinance) by increasing their spending on communication (software) IT spending. We also find that the entry of fintech induces commercial banks to increase their investment in IT—more so in the software IT category. This paper was accepted by Bo Becker, finance. Funding: Z. He acknowledges financial support from the John E. Jeuck Endowment at the University of Chicago Booth School of Business, as most of the work was done while he worked at the University of Chicago. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.04608>.

□ He - Investing in Lending Technology IT Spending in Banking.pdf

4. Government Debt Maturity and Term Structure of Credit Spreads

Authors: Xiang Gao

DOI: [10.1287/mnsc.2020.01979](https://doi.org/10.1287/mnsc.2020.01979)

Department: Finance

Published: 2026-04-21

Fields & Theories:

- **Fields:** Finance, Fixed Income Markets, Public Policy, Corporate Finance
- **Theories:** Maturity Clientele Theory, Crowding-out Effect, Supply-Demand Dynamics

Abstract:

We investigate how government borrowing behaviors influence private sectors by exploring the relationship between government debt maturity and credit term structures. Using individual corporate bonds data between 1987 and 2015, we find that a longer government debt maturity is associated with a steeper credit term structure in both the primary and secondary corporate bond markets. An instrumental variable approach and an exogenous event study help us establish a causality. Our findings are more pronounced among riskier corporate bonds, and the influences of Treasury bond supply on credit term spreads are more pronounced near the maturity where this supply shock originates, suggesting that the credit risk and the maturity clientele channels together drive our findings. This paper was accepted by Victoria Ivashina, finance. Supplemental Material: The internet appendix and data files are available at <https://doi.org/10.1287/mnsc.2020.01979>.

□ Gao - Government Debt Maturity and Term Structure of Credit Spreads.pdf

5. Unlocking Local Market Information Through Franchising

Authors: Steven Chong Xiao, Jiadi Xu

DOI: [10.1287/mnsc.2024.05903](https://doi.org/10.1287/mnsc.2024.05903)

Department: Business Strategy

Published: 2026-04-21

Fields & Theories:

- **Fields:** Strategic Management, Entrepreneurship, Franchising, Organizational Theory
- **Theories:** Agency Theory, Information Asymmetry, Knowledge-Based View, Resource-Based View

Abstract:

This paper examines the role of franchising in enabling firms to access valuable local market information. Using comprehensive data on U.S. franchised establishments, we show that franchisee-owned establishment openings robustly predict future local economic growth reflected by house price appreciation, whereas franchisor-owned outlets lack such predictive power. Franchisee investments are especially informative in markets with greater uncertainty and complexity and when facing higher investment hurdles. Franchisors appear sensitive to information frictions, avoiding direct investment in new markets that are geographically distant and lack direct flight connectivity. Our findings support the long-standing but untested assumption that franchisees possess superior private information. This paper was accepted by Maria Guadalupe, business strategy. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05903>.

□ Xiao - Unlocking Local Market Information Through Franchising.pdf

6. The Market Cost of Business Cycle Fluctuations

Authors: Anisha Ghosh, Christian Julliard, Michael J. Stutzer

DOI: [10.1287/mnsc.2023.00484](https://doi.org/10.1287/mnsc.2023.00484)

Department: Finance

Published: 2026-04-20

Fields & Theories:

- **Fields:** Finance, Asset Pricing, Macroeconomics
- **Theories:** Information-Theoretic Methods, Consumption-Based Asset Pricing, Stochastic Discount Factor (SDF)

Abstract:

We propose a novel approach to measure the cost of aggregate economic fluctuations that does not require complete specification of investors' risk preferences or their beliefs. With data on consumption and asset prices, an information-theoretic method is used to recover an information kernel (I-SDF). The I-SDF prices asset returns much better than tightly parametrized structural models, thereby offering a reliable candidate for the measurement of the welfare cost of business cycles. Our method enables the estimation of both the unconditional (or, average) cost of fluctuations, as well as the cost conditional on the state of the economy. We find that the cost of fluctuations is strongly time varying and countercyclical and that the cost of business cycle fluctuations is substantial, accounting for a quarter to a third of the cost of all consumption uncertainty. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendices and data files are available at <https://doi.org/10.1287/mnsc.2023.00484>.

□ Ghosh - The Market Cost of Business Cycle Fluctuations.pdf

7. The Trillion Dollar Bonus of Private Capital Fund Managers

Authors: Ludovic Phalippou

DOI: [10.1287/mnsc.2024.06510](https://doi.org/10.1287/mnsc.2024.06510)

Department: Finance

Published: 2026-04-20

Fields & Theories:

- **Fields:** Finance, Private Capital, Compensation Management
- **Theories:** Agency Theory, Incentive Alignment, Performance Persistence

Abstract:

Carried interest (carry) is the main performance-based component of compensation for private capital fund managers. Using fund-level cash flows and fee terms for more than 12,000 funds, we estimate which funds are in the carry and the total amount earned. Aggregate carry exceeds one trillion dollars and accounts for 18% of investor profits, about equal the contractual value-weighted rate of 19%. The difference reflects the role of hurdle rates and the relatively smooth distribution of fund outcomes. Carry is strongly related to both performance and fund size, and past carry is a stronger predictor of future performance than past returns. This paper was accepted by Lukas Schmid, finance.

□ Phalippou - The Trillion Dollar Bonus of Private Capital Fund Managers.pdf

8. Investment Performance of Private Pension Plans: Defined Benefit vs. Defined Contribution

Authors: Donghyeok Jang, Youchang Wu

DOI: [10.1287/mnsc.2024.05241](https://doi.org/10.1287/mnsc.2024.05241)

Department: Finance

Published: 2026-04-17

Fields & Theories:

- **Fields:** Finance, Asset Management, Pension Economics
- **Theories:** Economies of Scale, Efficiency Benchmarking, Institutional Investment Theory

Abstract:

Using data on over 160,000 U.S. private pension plans, we analyze the investment performance of defined benefit (DB) and defined contribution (DC) plans. We find a positive asset size effect in performance, stronger in DB plans partly because of greater economies of scale in administrative expenses. Small DB plans underperform small DC plans on various performance metrics and face the highest termination risk. After adjusting for investable passive benchmarks, DC plans outperform DB plans in all but the largest size decile. Our findings suggest that plan consolidation and converting small DB plans to the DC structure are likely to improve the efficiency of pension financing. This paper was accepted by Camelia Kuhnén, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05241>.

□ Jang - Investment Performance of Private Pension Plans Defined Benefit vs. Defined Cont.pdf

9. Measuring the Driving Forces of Predictive Performance: Application to Credit Scoring

Authors: Sullivan Hué, Christophe Hurlin, Christophe Pérignon, Sébastien Saurin

DOI: [10.1287/mnsc.2023.02025](https://doi.org/10.1287/mnsc.2023.02025)

Department: Finance

Published: 2026-04-08

Fields & Theories:

- **Fields:** Finance, FinTech, Credit Risk Management, Machine Learning
- **Theories:** Shapley Values, Explainable AI (XAI), Statistical Learning Theory

Abstract:

Because they play an increasingly important role in determining access to credit, credit scoring models are under growing scrutiny from banking supervisors and internal model validators. These authorities need to monitor the model performance and identify its key drivers. To facilitate this, we introduce the explain-

able performance (XPER) methodology to decompose a performance metric (e.g., area under the curve (AUC), [Formula: see text]) into specific contributions associated with the various features of a forecasting model. XPER is theoretically grounded on Shapley values and is both model-agnostic and performance metric-agnostic. Furthermore, it can be implemented either at the model level or at the individual level. Using a novel data set of car loans, we decompose the AUC of a machine-learning model trained to forecast the default probability of loan applicants. We show that a small number of features can explain a surprisingly large part of the model performance. Notably, the features that contribute the most to the predictive performance of the model may not be the ones that contribute the most to individual forecasts (Shapley additive explanation). Finally, we show how XPER can be used to deal with heterogeneity issues and improve performance. This paper was accepted by Kay Giesecke, finance. Funding: The authors thank the Institut Universitaire de France, the Autorité de contrôle prudentiel et de résolution Chair in Regulation and Systemic Risk, the HEC-Deloitte Chair on Artificial Intelligence for Business Innovation, the Excellence Initiative of Aix-Marseille University [A*MIDEX], and the French National Research Agency [Grants AMSE ANR-17-EURE-0020, Ecodec ANR-11-LABX-0047, and MLEforRisk ANR-21-CE26-0007] for supporting our research. Supplemental Material: The online appendices and data files are available at <https://doi.org/10.1287/mnsc.2023.02025>.

□ Hué - Measuring the Driving Forces of Predictive Performance Application to Credit Sco.pdf

10. The Road to Stock Market Participation

Authors: Sumit Agarwal, Meghana Ayyagari, Yuxi Cheng, Pulak Ghosh

DOI: [10.1287/mnsc.2024.04496](https://doi.org/10.1287/mnsc.2024.04496)

Department: Finance

Published: 2026-04-08

Fields & Theories:

- **Fields:** Finance, Household Finance, Development Economics, Infrastructure Management
- **Theories:** Information Frictions, Financial Inclusion, Market Participation Theory

Abstract:

This paper examines how infrastructure development affects stock market participation in India using trading data from more than 13 million individuals. Using the phased rollout of a national road construction program as a natural experiment, we find that new road connections lead to significant increases in both trading activity and the number of investors. These effects are driven primarily by new market entrants and are most pronounced in rural and intermediately developed regions as well as among male and middle-aged investors. Two main mechanisms explain these patterns. First is an information channel: improved connectivity reduces information frictions, facilitates portfolio diversification, and encourages investment in geographically distant firms. Second is a financial inclusion channel: road construction spurs new bank branch openings—especially by state-owned banks—expanding access to financial services and enabling portfolio reallocation from savings and consumption to equity markets. We find limited evidence for a third possible channel, risk sharing, whereby participation rises with road connectivity in regions with high income volatility. Whereas initial investor returns are positive, long-term performance declines and risk-taking increases, suggesting that infrastructure expansion promotes market participation but not necessarily optimal investment outcomes. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.04496>.

□ Agarwal - The Road to Stock Market Participation.pdf

11. Third-Party Quality Certification in the Market for Financial Advice

Authors: William C. Gerken, Morteza Momeni

DOI: [10.1287/mnsc.2024.05423](https://doi.org/10.1287/mnsc.2024.05423)

Department: Finance

Published: 2026-04-08

Fields & Theories:

- **Fields:** Strategic Management, Finance, Corporate Governance, Reputation Management
- **Theories:** Signaling Theory, Reputational Models, Information Asymmetry

Abstract:

We study third-party quality certification in the market for financial advice. Using Barron's Top Financial Advisors rankings and multiple identification strategies, we find evidence that being named a top advisor increases both assets under management and accounts for individuals and their firms. The effects increase sharply around state-level thresholds for certification, suggesting that clients value the certification itself and not solely the underlying quality. Contrary to industry folklore about a "Barron's curse," we find that after certification, advisors are less likely to engage in misconduct, consistent with reputational models. The certification effect is robust to controlling for increased media attention and operates primarily through certification value rather than visibility, with larger effects for advisors from smaller firms and those with less experience. This paper was accepted by Camelia Kuhnen, finance. Funding: The authors acknowledge the support of the Institute for the Study of Free Enterprise. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05423>.

□ Gerken - Third-Party Quality Certification in the Market for Financial Advice.pdf

12. Firm-Level Litigation Risk: Measurement and Effects

Authors: Benjamin Bennett, Charles Ham, Todd Milbourn, Zexi Wang

DOI: [10.1287/mnsc.2024.05821](https://doi.org/10.1287/mnsc.2024.05821)

Department: Finance

Published: 2026-04-08

Fields & Theories:

- **Fields:** Strategic Management, Corporate Finance, Risk Management, Non-market Strategy
- **Theories:** Agency Theory, Information Economics

Abstract:

Firms are exposed to litigation risk from various stakeholders, including investors, customers, and regulators, and prior research has shown that such risk shapes a range of corporate policies. In this study, we develop a simple and transparent measure of firm-level litigation risk by parsing SEC 10-K annual reports. This measure demonstrates strong predictability for lawsuits, even after controlling for firm characteristics, existing lawsuits, geographic factors, and various fixed effects, including firm fixed effects. This simple measure performs comparably to a more resource-intensive, AI-generated litigation risk measure. We further link our measure of litigation risk to a variety of corporate policies, including cash holdings, capital expenditures, R&D, and acquisitions, uncovering results consistent with the literature. This paper was accepted by Bo Becker, finance. Funding: C. Ham acknowledges financial support from the Blanche "Peg" Philpott Faculty Fellowship. Supplemental Material: The internet appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.05821>.

□ Bennett - Firm-Level Litigation Risk Measurement and Effects.pdf

13. Dollar Dominance in FX Trading

Authors: Fabricius Somogyi

DOI: [10.1287/mnsc.2024.07656](https://doi.org/10.1287/mnsc.2024.07656)

Department: Finance

Published: 2026-04-07

Fields & Theories:

- **Fields:** International Finance, International Business, Market Microstructure
- **Theories:** Market Microstructure, Strategic Trading, Vehicle Currency Theory

Abstract:

Over 85% of all foreign exchange (FX) transactions involve the U.S. dollar, whereas the United States accounts for a much smaller fraction of global economic activity. My paper attributes the dominance of the dollar in FX trading to strategic avoidance of price impact. Using a novel identification strategy, I show that, on average, 13% of the volume in dollar pairs arises from using the dollar as a vehicle currency to indirectly exchange two nondollar currencies. To rationalise this result, I derive three model-based conditions for dollar dominance. I empirically test these conditions and provide evidence consistent with the theoretical framework. This paper was accepted by *Lukas Schmid, finance*. Funding: F. Somogyi acknowledges financial support from the Swiss National Science Foundation (SNSF) [Grant 195095]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07656>.

□ Somogyi - Dollar Dominance in FX Trading.pdf

14. Health Shocks and Annuity Choices

Authors: Johannes Hagen, Michal Hodor, Abigail Hurwitz

DOI: [10.1287/mnsc.2025.00682](https://doi.org/10.1287/mnsc.2025.00682)

Department: Finance

Published: 2026-04-07

Fields & Theories:

- **Fields:** Finance, Behavioral Economics, Decision Sciences, Household Finance
- **Theories:** Behavioral Finance, Default Bias, Information Shock Mechanism

Abstract:

This study examines how a first-time malignant cancer diagnosis, acting as an informational shock to perceived longevity, affects the demand for life annuities. Using a quasi-experimental design and exploiting Swedish administrative data, we show that receiving a cancer diagnosis close to retirement reduces annuitization rates by 5.5%. The diagnosis lowers the money's worth ratio of a life annuity by 33%, representing a substantial financial loss. Combined with the modest behavioral response, this yields a low demand elasticity of 0.17 with respect to the perceived annuity value. Evidence from a complementary laboratory experiment indicates that this limited adjustment is driven by the influence of a default option that reduces responsiveness to private health information and may disadvantage individuals in poor health. History: Accepted by *Camelia Kuhnen, finance*. Open Access Statement: This work is licensed under a Creative Commons Attribution-NonCommercial-NoDerivatives 4.0 International License. You are free to download this work and share with others, but cannot change in any way or use commercially without permission, and you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2025.00682>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by-nc-nd/4.0/>." Funding: This work was supported by The Henry Crown Institute of Business Research in Israel [Grant 08923100], the Israel Science Foundation [Grant 1637/23], the Jeremy Collier Foundation [Grant 0612017581], the Hamrin Foundation [Grant 2023-09], the Solomon Lew Center for Consumer Behavior [Grant 08923200], the Swedish Research Council for Health Working Life and Welfare [Grant 2023-00046], and the Center for Agriculture, Environment and Natural Resource [Grant 0004]. Supplemental Material: The online appendices and data files are available at <https://doi.org/10.1287/mnsc.2025.00682>.

□ Hagen - Health Shocks and Annuity Choices.pdf

15. Intangible Liabilities

Authors: Hamid Boustanifar, Arnt Verriest

DOI: [10.1287/mnsc.2023.03619](https://doi.org/10.1287/mnsc.2023.03619)

Department: Finance

Published: 2026-04-06

Fields & Theories:

- **Fields:** Strategic Management, Finance, Accounting, Non-market Strategy
- **Theories:** Information Asymmetry, Signaling Theory, Text-based Risk Assessment

Abstract:

When liabilities are deemed improbable or cannot be reliably estimated by management, they are not recorded on the balance sheet. Instead, they are disclosed qualitatively in the company's filings. Examples include obligations related to pending or future lawsuits, product liability, environmental matters, false advertising, or patent and copyright infringements. We refer to these obligations as intangible liabilities. We construct a firm-level, text-based measure of intangible liabilities (IL). IL is positively related to firm size, volatility, and share turnover, and is negatively correlated with accounting performance, abnormal returns, and Tobin's Q. IL also predictably varies across industries. Moreover, IL predicts future lawsuits against firms and the future deterioration of their reputations. Companies with higher IL trade at lower valuation ratios and have significantly higher future crash risks. A portfolio that is long on high IL and short on low IL yields an annual abnormal return of 3% after accounting for common factors. Overall, the results suggest that intangible liabilities are a significant determinant of firm value and stock returns. This paper was accepted by Bo Becker, finance. Supplemental Material: The data files are available at <https://doi.org/10.1287/mnsc.2023.03619>.

□ Boustanifar - Intangible Liabilities.pdf

16. Tobin Tax Policy, Housing Speculation, and Property Market Dynamics

Authors: Sumit Agarwal, Kwong Wing Chau, Maggie Rong Hu, Wayne Xinwei Wan

DOI: [10.1287/mnsc.2022.00370](https://doi.org/10.1287/mnsc.2022.00370)

Department: Finance

Published: 2026-04-03

Fields & Theories:

- **Fields:** Finance, Real Estate Management, Non-market Strategy, Public Policy
- **Theories:** Tobin Tax Theory, Market Liquidity Frictions, Behavioral Strategy, Market Externality

Abstract:

Hong Kong introduced a Tobin property tax—the Special Stamp Duty (SSD)—in 2010, which substantially increased the selling costs of short-term residential property holders. This study examines the effectiveness of this Tobin tax in curbing speculation and cooling down the housing market. We find that the SSD effectively curtails flippers who hold homes for less than two years and reduces their market presence from 23.2% in 2009 to 2.4% in 2011 and 0.9% in 2013. However, one year after implementing the tax, housing prices grow by 12.64% and 15.76% in the primary and secondary markets, respectively, indicating a lack of a market cooling effect. Flippers strategically defer sales to circumvent the SSD charges, resulting in the sharp bunching of urgent sales immediately after the lock-in period ends. Further, the SSD effectively increases selling costs and prolongs potential sellers' holding periods, thereby significantly reducing liquidity and driving up prices in the secondary market. The unintended externality is that the unmet housing demand from the secondary market triggers a buying frenzy in the primary market, which increases the prices in the primary market as well. Our findings have policy implications for the viability of Tobin taxes for regulating real estate markets. This paper was accepted by Agostino Capponi, finance. Funding: S. Agarwal was supported by the National Natural Science Foundation of China [Grant 72495154]. Supplemental Material: The internet appendix and data files are available at <https://doi.org/10.1287/mnsc.2022.00370>.

□ Agarwal - Tobin Tax Policy, Housing Speculation, and Property Market Dynamics.pdf

17. Do Carbon Emissions Affect Stock Returns? Causal Evidence from a Supreme Court Ruling

Authors: Xiaoyi Lyu, Chenyu Shan, Dragon Yongjun Tang

DOI: [10.1287/mnsc.2024.06732](https://doi.org/10.1287/mnsc.2024.06732)

Department: Finance

Published: 2026-04-03

Fields & Theories:

- **Fields:** Finance, Non-market Strategy, Environmental Management, Corporate Governance

- **Theories:** Climate Transition Risk, Institutional Theory, Market Efficiency, Political Risk

Abstract:

Considering the importance of corporate carbon emissions, the Supreme Court of the United States ruled against the Environmental Protection Agency (EPA) and curtailed EPA's regulatory powers by unprecedentedly invoking the "major questions doctrine" in its judgment of *West Virginia v. EPA* in 2022. We find that the stock prices of firms with greater exposure to carbon risk increased relative to firms with lower exposure after the Supreme Court verdict. The results are more pronounced for firms subject to higher federal climate enforcement intensity prior to the court ruling. Long-term climate commitments by state governments and carbon-sensitive institutional investors attenuate the effect. Both cash flow and discount rate contribute to the climate risk effect in firm value. Overall, our findings from this landmark climate litigation suggest that climate transition risks can affect stock prices. This paper was accepted by *Lin William Cong, finance*. Funding: Funding support by Hong Kong General Research Fund [Grant 17501825] is gratefully acknowledged. This work was supported by National Natural Science Foundation of China [Grants 72172082 and 72342021 (C. Shan)]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06732>.

□ Lyu - Do Carbon Emissions Affect Stock Returns Causal Evidence from a Supreme Court Ru.pdf

18. Responsible Investment and Responsible Consumption

Authors: Hendrik Hakenes, Eva Schliephake

DOI: [10.1287/mnsc.2023.03042](https://doi.org/10.1287/mnsc.2023.03042)

Department: Finance

Published: 2026-04-02

Fields & Theories:

- **Fields:** Sustainable Finance, Strategic Management, Business Ethics, General Equilibrium Economics
- **Theories:** General Equilibrium Theory, Stakeholder Theory, Market Complementarity, Externality Theory

Abstract:

Should households focus on responsible investment (SRI) or responsible consumption (SRC) to mitigate externalities? Using a general equilibrium model linking product and capital markets, we show that neither strategy is efficient on its own—each shifts prices and triggers offsetting market responses. Combining SRI and SRC neutralizes these effects and maximizes impact. This complementarity holds across diverse settings, even when SRI alone would have negligible impact. The effectiveness of green finance, therefore, critically depends on households acting as both investors and consumers. This paper was accepted by *Bo Becker, finance*. Funding: This work was supported by Germany's Excellence Strategy [Grant EXC 2126/1-39083886], Deutsche Forschungsgemeinschaft [Grant CRC TR224 project C03], and the Portuguese Foundation of Science and Technology [Grant PTDC/EGE-ECO/6041/2020].

□ Hakenes - Responsible Investment and Responsible Consumption.pdf

19. The Trade-Offs of Letting Local Managers Make Hiring Decisions

Authors: Hugh Xiaolong Wu, Shannon X. Liu

DOI: [10.1287/mnsc.2020.03837](https://doi.org/10.1287/mnsc.2020.03837)

Department: Organizations

Published: 2026-04-01

Fields & Theories:

- **Fields:** Organizational Theory, Human Resource Management, Strategic Management, Personnel Economics
- **Theories:** Organizational Design, Agency Theory, Local Knowledge Advantage, Knowledge Spillover

Abstract:

Letting managers have more authority over hiring decisions is becoming an increasingly common management practice among business chains worldwide, yet both theoretical and empirical evidence on its effects remains limited. Local manager hiring (LMH) refers to decentralizing hiring decisions to local business unit managers, rather than relying on the headquarters' human resource department to make decisions. To assess the impacts of LMH on employee recruitment, productivity, and firm performance, we partnered with a large Chinese firm operating 111 retail stores through a twelve-month field experiment. Results show that LMH leads to an increase in both the mean and variance of individual productivity, yielding a boost in store-level sales of approximately 7%–8%. Store-level performance gains were driven by both the direct effects of recruiting higher-performing workers and the indirect effects of positive spillovers from new hires to existing employees. In line with our theory, LMH achieved superior outcomes in stores with better-aligned managerial incentives, more repeat customers, and lower levels of busyness. However, the rise in variance indicates greater inconsistency in hiring outcomes, which led to worse outcomes in some stores. These findings highlight the central trade-off of decentralized hiring: While it can improve average performance by leveraging local knowledge, it also increases the risk of costly hiring mistakes. This paper was accepted by Isabel Fernandez-Mateo, organizations. Funding: This work was supported by The Chiang Ching-Kuo Foundation [Grant DD086-A-18]; Stanford Center at Peking University; Stanford King Center on Global Poverty and Development. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2020.03837>.

□ Wu - The Trade-Offs of Letting Local Managers Make Hiring Decisions.pdf
